

suspicion of multiple fiddles. Indeed, Saurabh Mukherjea, head of Indian equities at the UK-based investment bank Noble Group, has in a recent report stated that "one in five BSE 500 companies could have accounting issues". Shockingly, he adds that attempts "to confront managements with facts resulted not in denial but threats of reputational damage to Noble".

One could quibble about the scale but not the existence of frauds. Every sentry leading to the ethical mount called corporate governance was caught napping. The algorithm of this massive fraud has wrecked public faith in the institution of internal auditors, external auditors and independent directors. Regulators ranging from the Registrar of Companies (RoC), the Securities and Exchange Board of India (SEBI) and the Reserve Bank of India were caught asleep at the wheel. Very simply, there were no whistle blowers and nobody called the bluff. Sherlock Holmes would have been tempted to call it the curious case of the night the dog didn't bark. The little that is known on the scam is thanks to the confessions of Raju and later Vadalamani Srinivas, the CFO of Satyam Computers. Worse, Raju managed to orchestrate the fraud even as he diluted his holding from 25.6 per cent in 2001 to a mere 3.6 per cent in 2009. That a minority shareholder can wreak such havoc is in itself a testimonial to the pathetic state of corporate governance.

Even the most charitable explanation of the scam—that he cooked his books, ramped up share prices and used the profit from dilution to further inflate profits—reveals the appalling systemic failure. That is fraud, forgery, cheating and insider trading all in one long sequence. Not surprisingly, the Government has acted post haste. Corporate Affairs Minister Prem Chand Gupta described the scam as "shocking" and promised that "those guilty will be punished". The first steps have been taken. Gupta was quick off the block, asking the RoC to seal three buildings and seize documents. Given the international operations, the tax fiddle, audit negligence and pricing and insider trading violations, multiple



agencies ranging from the MCA which oversees corporate governance, the SEBI, the Income Tax Department and the Enforcement Directorate will be involved in the probe. Unlike in the past, during the Harshad Mehta scam when various departments pulled in different directions, a co-ordination cell has been put into place under the cabinet secretary. But investigators will first have to wade through documents and need access to Raju who is in judicial custody. As with every scam, the leads will come through interrogation. That will not be easy with a battery of lawyers working 24x7 to anticipate the moves of enforcement agen-

HISTORY SHEET

Lax regulation and pathetic conviction have seen a surfeit of major scams since the 1992 Securities Scandal



SECURITIES SCANDAL 1992

Harshad Mehta and other brokers used forged bankers' receipts and manipulated banks to siphon off money. This money—to the tune of Rs 4,100

crore—was used to rig the stock market.

CRB CAPITAL 1996

Chairman C.R. Bhansali was accused of using CRB's accounts in SBI to siphon off Rs 1,031 crore using refund warrants.

PLANTATION 1998

Companies raised money from the public, offering

them astonishing returns for investing in plantation companies.

US 64 SCAM 2000

Companies used money



and political influence to get the Unit Trust of India to invest in dubious scrips leading to a loss in the NAV of Unit 64 and a bailout of over Rs 3,300 crore.

KETAN PAREKH SCAM 2001

One-time Harshad Mehta acolyte Ketan Parekh (left) used over Rs 3,800 crore from cooperative and nationalised banks to rig share prices.